

Top Stories

FICC and Equities

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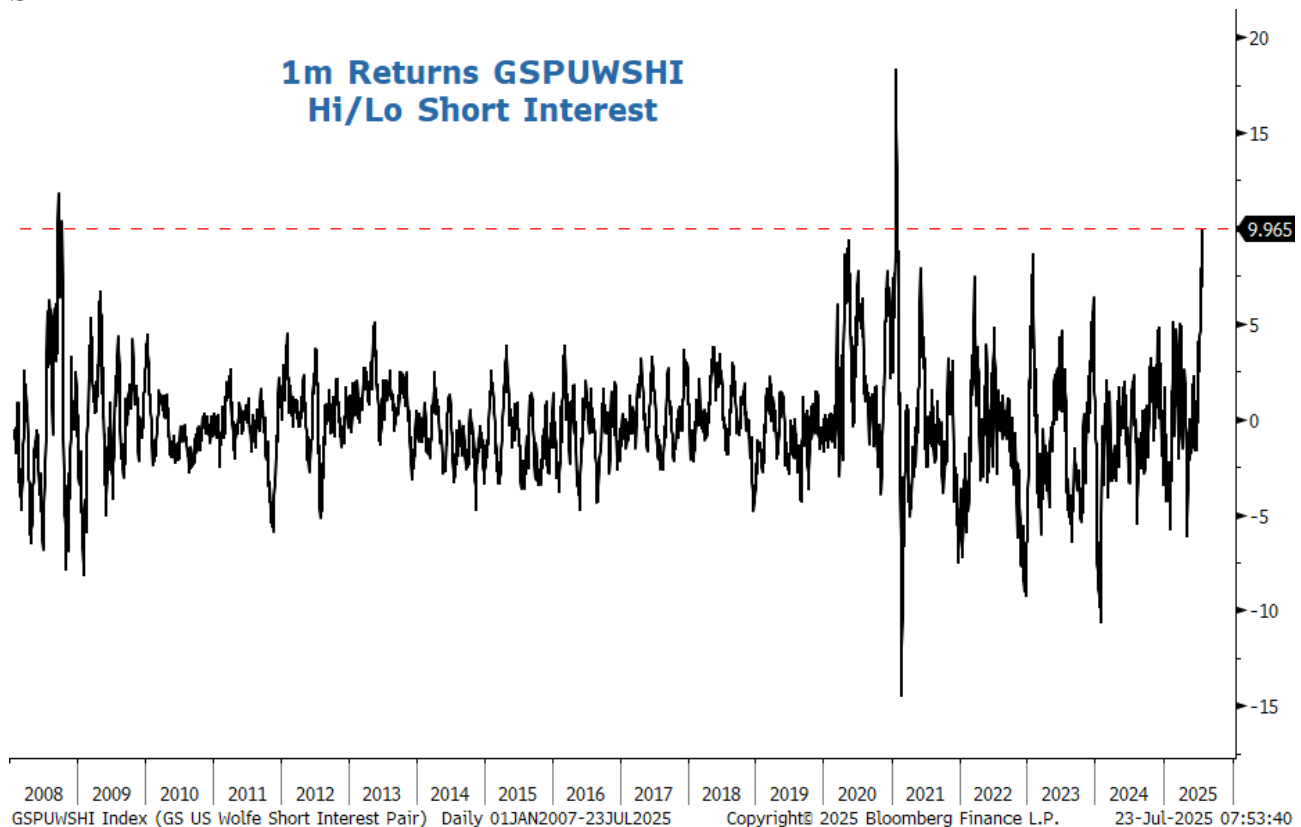
*Markets Right Now...

Equity Indices	CHG	LAST
S&P Futures	0.04%	6,399.00
Nasdaq 100 Futures	0.27%	23,374.25
Russell 2000 Futures	-0.41%	2,285.50
VIX (point chg)	0.55	15.38
Europe (SX5E)	0.39%	5,365.05
Germany (DAX)	0.46%	24,351.57
UK (UKX)	0.93%	9,146.00
China (SHCOMP)	0.65%	3,605.73
HK (HSI)	0.51%	25,667.18
Japan (NKY)	1.59%	41,826.34
Bonds/Currencies	CHG	LAST
US 10yr (point chg)	-0.044	4.40%
DXY	0.21%	97.42
EUR/USD	-0.19%	1.175
Bitcoin	0.44%	118,478.13
Ethereum	1.61%	3,627.30
Commods	CHG	LAST
Crude	0.92%	65.85
Brent	0.74%	69.02
Gold	-0.61%	3,366.57
Silver	-0.48%	39.08
Copper	1.73%	589.50

*10 Things You Shouldn't Miss This AM...

- 1) China's investment banks have slashes fees for bond issues to as low as \$100 as price-sensitive state-owned issuers dominate a tepid credit market and stoke a race to the bottom to win mandates. Bankers aid the pressure to undercut rivals had become acute this year as state owned enterprises had become the most active bond issuers and private companies pulled back. FT
- 2) Japan's flash PMIs for Jul are mixed, with manufacturing coming in at 48.8 (down from 50.1 in June) and services at 53.5 (up from 51.7 in June). BBG
- 3) The US and South Korea have discussed creating a fund to invest in American projects as part of a trade deal, similar to an agreement Japan struck Tuesday with President Donald Trump. BBG
- 4) The ECB is in wait-and-see mode with no change to rates or language expected at today's meeting. Instead, Bloomberg Economics sees a 25-bp cut in September to cushion the impact of the US tariffs. BBG
- 5) Eurozone flash PMIs for Jul are a bit better than expected thanks to strength in services (51.2, up from 50.5 in June and above the Street's 50.6 forecast) while manufacturing was inline (49.8, up from 49.5 in June and inline w/the Street's 49.8 forecast), and the report contained some glimmers of hope on the inflation front as price pressures eased somewhat. S&P
- 6) Trump will personally participate in a tour of the Fed headquarters on Thurs as the White House ratchets up pressure on Powell to lower rates. FT
- 7) US trading partners will face tariffs ranging from 15% to 50%, Trump said, as he sets rates ahead of an Aug. 1 deadline. BBG
- 8) GOOG +3.25% (was -2.5% at one point last night).. headline beat (~6% EPS beat), but surprise capex raise (unexpectedly raised '25 capex by ~\$10bn to \$85bn) .. against what felt like a 'consensus', tactical beat-and-fade type of set-up in our investor convos (ongoing DoJ/Search + AI + capex debates not to mention the 10-day rally into today). (H/T Callahan)
- 9) TSLA -6% pre mkt, after Musk shared that Tesla could be in for a "rough few quarters" on call as the Trump administration ends EV incentives and tariff pressures cause uncertainty for the company following one of its worst earnings reports in 10+ yrs. BBG

10) Our Short Interest Pair had its best monthly returns since the meme stock squeeze back in January 2021. Our High vs Low Short Interest Pair (GSPUWSHI Index) rallied 10% in the period (on a ~13% vol as the pair is sector, industry, & factor neutral), a move in the 99.7th percentile rally (3.8 stdv) relative to the last 17+ years, driven by animal spirit and strong retail participation. H/T Guillaume Soria



Source: Goldman Sachs FICC & Equities, Bloomberg, as of July 2025. Past performance is not indicative of future results.

***Noteworthy Economic Data that hit overnight...**

- Australia's flash PMIs for Jul are solid, with manufacturing coming in at 51.6 (up from 50.6 in June) and services at 53.8 (up from 51.8 in June) (Bloomberg)
- India's flash PMIs for Jul are mixed, with manufacturing coming in at 59.2 (up from 58.4 in June) and services at 59.8 (down from 60.4 in June) (Bloomberg)
- Japan's flash PMIs for Jul are mixed, with manufacturing coming in at 48.8 (down from 50.1 in June) and services at 53.5 (up from 51.7 in June) (Bloomberg)
- South Korea's GDP for Q2 comes in a bit ahead of expectations at +0.6% Q/Q (vs. the Street +0.5%) (WSJ)

- Eurozone auto registrations came in at -7.3% Y/Y in June, a sharp swing lower from +1.6% in May (Bloomberg)
- Eurozone flash PMIs for Jul are a bit better than expected thanks to strength in services (51.2, up from 50.5 in June and above the Street's 50.6 forecast) while manufacturing was inline (49.8, up from 49.5 in June and inline w/the Street's 49.8 forecast), and the report contained some glimmers of hope on the inflation front as price pressures eased somewhat (S&P)

***Keep an eye on the following events today...**

Economic Data (All Times ET):

- 5:00 am: Jun F Building Permits, est. 1397k, prior 1397k
- 8:30 am: Jul 19 Initial Jobless Claims, est. 226k, prior 221k
- 8:30 am: Jun Chicago Fed Nat Activity Index, est. -0.15, prior -0.28
- 8:30 am: Jul 12 Continuing Claims, est. 1953.5k, prior 1956k
- 9:45 am: Jul P S&P Global U.S. Manufacturing PMI, est. 52.7, prior 52.9
- 9:45 am: Jul P S&P Global U.S. Services PMI, est. 53, prior 52.9
- 9:45 am: Jul P S&P Global U.S. Composite PMI, est. 52.8, prior 52.9
- 10:00 am: Jun New Home Sales, est. 650k, prior 623k
- 10:00 am: Jun New Home Sales MoM, est. 4.33%, prior -13.7%

Central Banks (All Times ET):

- Fed's External Communications Blackout (July 19 - July 31)

Main Rating Changes:

Upgrades:

- Birkenstock Raised to Buy at Goldman; PT \$60
- Boeing Raised to Outperform at KGI Securities; PT \$266
- General Dyna Raised to Outperform at Wolfe; PT \$360
- Northern Trus Raised to Peerperform at Wolfe
- Spoti to Outperform at Oppenheimer; PT \$800
- Travel + Leisure Co Raised to Outperform at Mizuho Securities
- Varonis Systems Raised to Buy at Jefferies; PT \$65

Downgrades:

- AT&T Cut to Hold at HSBC; PT \$30
- BankUni to Neutral at Piper Sandler; PT \$43
- Chipotle Sinks After Second Cut to Sales Forecast: Street Wrap
- Chubb Cut to Neutral at Piper Sandler; PT \$283
- Enovix Cut to Neutral at JPMorgan; PT \$12
- Goosehead Insurance Cut to Neutral at Piper Sandler; PT \$109
- Johnson Controls Cut to Hold at Jefferies; PT \$120
- Saia Cut to Hold at Stifel; PT \$306

- Tesla Cut to Sell at Punto Casa de Bolsa; PT \$299.48

Initiations:

- Braze Rated New Outperform at Mizuho Securities; PT \$40
- Hawkins Rated New Market Perform at Raymond James
- Intel Rated New Buy at GF Securities; PT \$34
- UFP Rated New Hold at Loop Capital; PT \$112

*Early GS Ratings Changes...

Americas

Company Name	Ticker		Rating (New)	Rating (Old)	Today's Note
Hewlett Packard Enterprise Co.			Neutral	Not Rated	Reinstate at Neutral
Credicorp	BAP	↑	Neutral	Sell	Clearer path to...

Europe

Company Name	Ticker		Rating (New)	Rating (Old)	Today's Note
Birkenstock	BIRK	↑	Buy	Neutral	Momentum robust

Asia

Company	Ticker		Rating (New)	Rating (Old)	Today's Note
Reece Ltd.	REH.AX	↑	Neutral	Sell	Headwinds largely intact
Strike Energy Ltd.	STX.AX	↓	Neutral	Buy	CVN to take...
Subaru Corp.	7270.T	↑	Buy	Neutral	Raising our estimates...
Trent Ltd.	TREN.BO	↓	Neutral	Buy	Market share gain...

Sources: Bloomberg, TradeTheNews, Street Account, Reuters, WSJ, FT, GS Research as of today

From GS Sales/Trading this is NOT Research. Note past performance is not indicative of future results. Any references to we/us/our refers to the desk.